

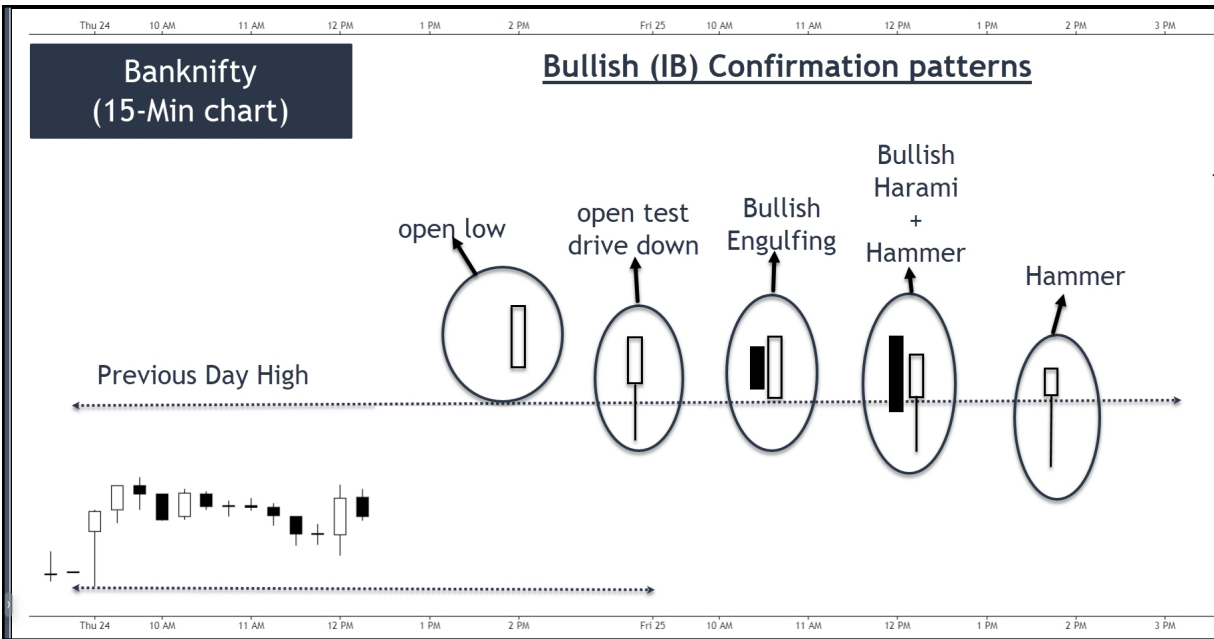


Image 5.8 – Bullish confirmation patterns for Initiative Buying

Image 5.8 shows the bullish confirmation patterns for Initiative buying.

It can come through bullish candlestick patterns like bullish engulfing, bullish harami + hammer, hammer patterns (as discussed in chapter-4) or through 'open-low' (when open is equal to low of the candle), which is a price acceptance pattern, or through 'open-test-drive-up', (opens, moves down, fails lower price test and then prices move up) which is a price rejection pattern (rejection of selling below PDH in this case).

Traders can observe these patterns in either 5-min, or 10-min, or 15-min timeframes. Please note that in a 5-min timeframe, you get very early entry, but there is also a high probability of failure.

In 15-min timeframe, you get more success, but sometimes your entry will be late. Hence, I suggest backtesting this system for a few years and picking the timeframe that suits your personality.

System 4 – Initiative Selling (Gap-down)

Imbalanced open can occur either on the upside or downside. If it appears on the upside (at PDH), then traders can plan long trades as explained in the previous system. Similarly, traders can plan short trades if it occurs at previous day low (PDL).